

Marketing: Session 2

Customer Analysis II – Positioning

Steps so far....

- Step 1: Understand customer needs (Market Research)
 - Often via exploratory research (focus groups, ethnographic research, etc.) and using tools like consumption chains and customer journeys. Recognize that needs can be heterogeneous
 - Could go beyond needs to encompass attitudes and behaviors

MARKETING OBJECTIVE / KPI	AWARENESS	CONSIDERATION		CONVERSION			AFFILIATION	ADVOCACY
	OBJECTIVE DEFINED	Extent audiences recognize and understand the Booth Brand	Active expression of interest in Booth.	Taking the desired action to engage with Booth			Officially experiencing the Brand on a regular basis.	Support and recommend Chicago Booth
	AUDIENCE	Prospects General Population	Prospects General Population	Prospects General Population			Alumni Students General Population	Alumni Students General Population
PROSPECT JOURNEY		CONTEMPLATE	RESEARCH	FILTER	PREPARE	COMMIT		
PROSPECT DECISIONS		Pursue MBA	Short list Booth	Confirm desire to attend Booth	Submit application	Accept offer		
AUDIENCE NEEDS	<i>Prospects:</i> Should I get an MBA? Where should I get an MBA? <i>General Population:</i> What is the best business school? Where can I get the best information on business, policy, and markets?	<i>Prospects:</i> Why should I get an MBA? Why should I chose Booth?	<i>Prospects:</i> What are the steps to get my MBA? What opportunities will an MBA provide? What is my universe of options? <i>General Pop:</i> Why do I care about Booth?	<i>Prospects:</i> Where will I apply? What MBA program is the best fit for me? Is the ROI worth it?	<i>Prospects:</i> How can I be the most desirable candidate for Booth?	<i>Prospects:</i> Which school is the best fit for me? <i>General Pop:</i> Why do I care about Booth?	<i>Alumni:</i> Does Booth care about me? How can I stay engaged with the school? <i>Students:</i> What is my personal role within the Booth community? Does Booth care about me? <i>General Pop:</i> What does Booth mean for me?	<i>Alumni:</i> How does Booth make my life better? How can I tell the Booth story? <i>Students:</i> How does Booth make my life better? How can I tell the Booth story? <i>General Pop:</i> How can I te the Booth story?
	COMMUNICATIONS OBJECTIVE	INFORM with the Booth Brand message	EDUCATE about the Chicago Booth point of difference	DEMONSTRATE relevance to audience	CLARIFY the programs and lifestyle	SUPPORT and build foundation for long-term relationship	CAPTIVATE the audience	BUILD the relationship

Steps so far....

- Step 1: Understand customer needs (Market Research)
- Step 2: Size up the various needs (Segmentation)
 - Recognize needs are heterogeneous
 - Are there sub-groups that might have similar needs?
 - Based on the needs identified in step 1 (or attitudes, behavior), construct e.g., a survey that asks consumers about the extent of their needs. These are **the bases variables**
 - Perform cluster analysis to get the sub-groups
 - Need to figure out ways to “reach” the consumers. Compute the average demographic profile of each segment. These demographic variables that are also measured at the time of the bases variable survey are referred to as the **descriptor variables**.
 - Now we know the segments and who is in each of the segments.
 - *Note: Often in companies the descriptor variables are used to label segments – “we are going after the younger demographic.” What they mean is: “we are going after the younger demographic because they i) have social **needs** in relating to their friends; ii) care about environmental issues (**attitude**); and iii) are more likely to buy the product (**behavior**)”*

Steps so far....

- Step 1: Understand customer needs (Market Research)
- Step 2: Size up the various needs (Segmentation)
- Step 3: Which segment to pursue? (Targeting)
 - Subject to the nature of decision-making in your marketing team.
 - Fraught with subjectivity.
 - What are factors that affect
 - (i) the attractiveness of the segments to us as the firm (size, profitability, growth rate, etc.)
 - (ii) the ability of the firm to serve the segments – i.e., the company's strengths vis-à-vis the segments.
 - Assign weights to come up with indices of segment attractiveness and company strength for each segment.
 - Put these into a matrix dubbed the Multifactor Targeting Model.
 - Use matrix to zero in on a subset of segments
 - (Delphi Technique to minimize subjectivity.)

How to do customer analysis?

1. Understand customer need-space based on their wants, desires, attitudes and behaviors
2. Understand differences across customers in their need-spaces
3. Match need-spaces with firm capabilities to zoom in on some customers
4. Convince matched customers to buy / adopt your product or service
– capturing mind-space

How to capture the customer's mind-space?

- Product / service offering must be unique along some benefit dimension
- Benefit can be unambiguously linked to that product / service
- Convince target segment that we can meet / exceed its needs
- And we can do it better than competitive offerings
- USP, “only”ness (or onliness) statement, motivator vs hygiene factor

Hence this process is referred to as “Positioning”

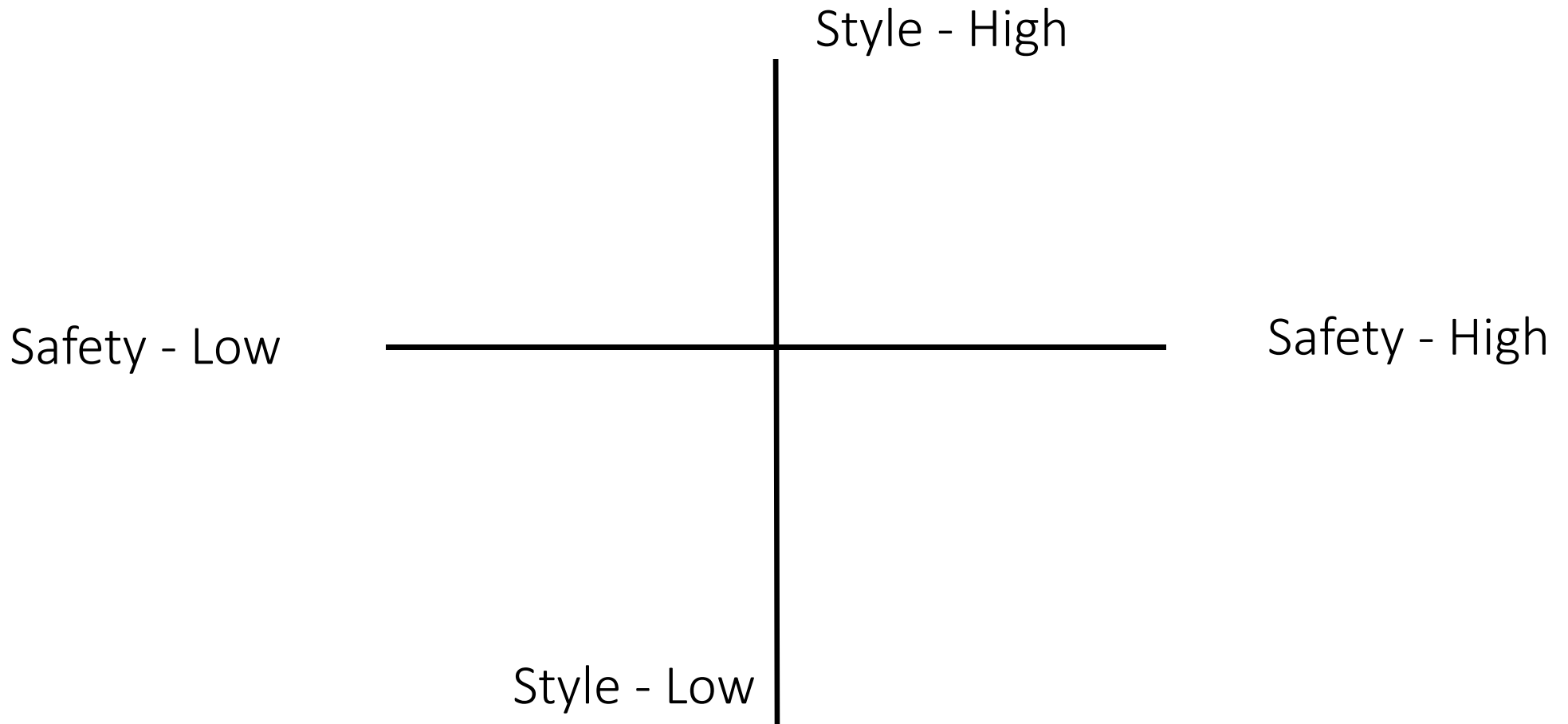
Positioning

- Positioning relates to the mind space or mental map of consumer
- Dimensions of the map are the benefits consumers seek
- Brand locations on the mental map: Consumers [perceptions](#) of these brands
- Brand's "position" is linked to its relative location along the benefits
- Understanding consumers' perceptions is key to understanding positioning

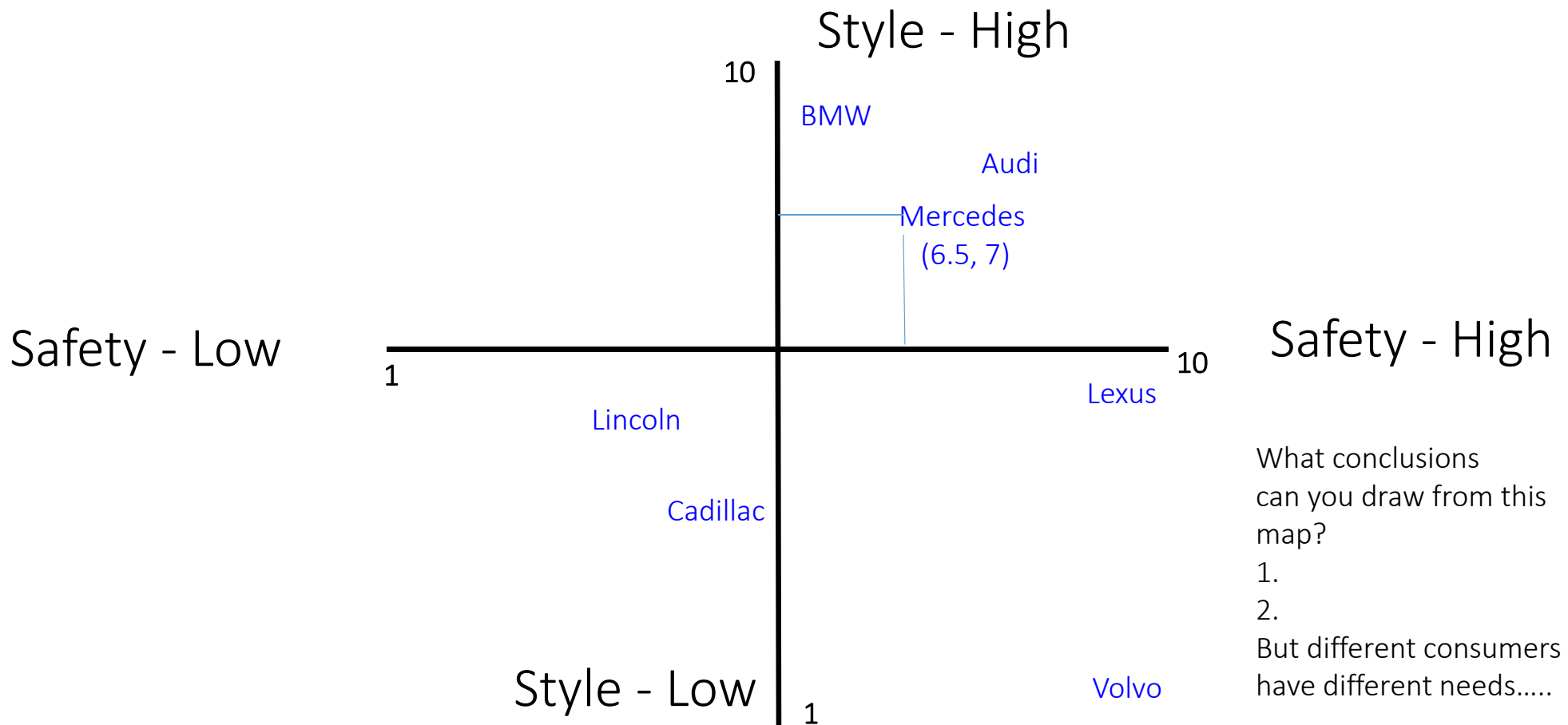
Perceptual Maps

- Perceptual map *typically* focuses on two important benefits that consumers seek (a 2-D map). But in general they reflect many benefits in 2D
- Two sources of information form the input to a perceptual map
 1. Map contains *Brand Locations*, based on consumers' perceptions of the brands along the attributes / benefits – needs “*Perceptual Data*”
 2. Map also contains consumers' *Preferences* for the brands or their *Ideal Points* along the benefits (i.e., their needs) – requires “*Preference Data*”

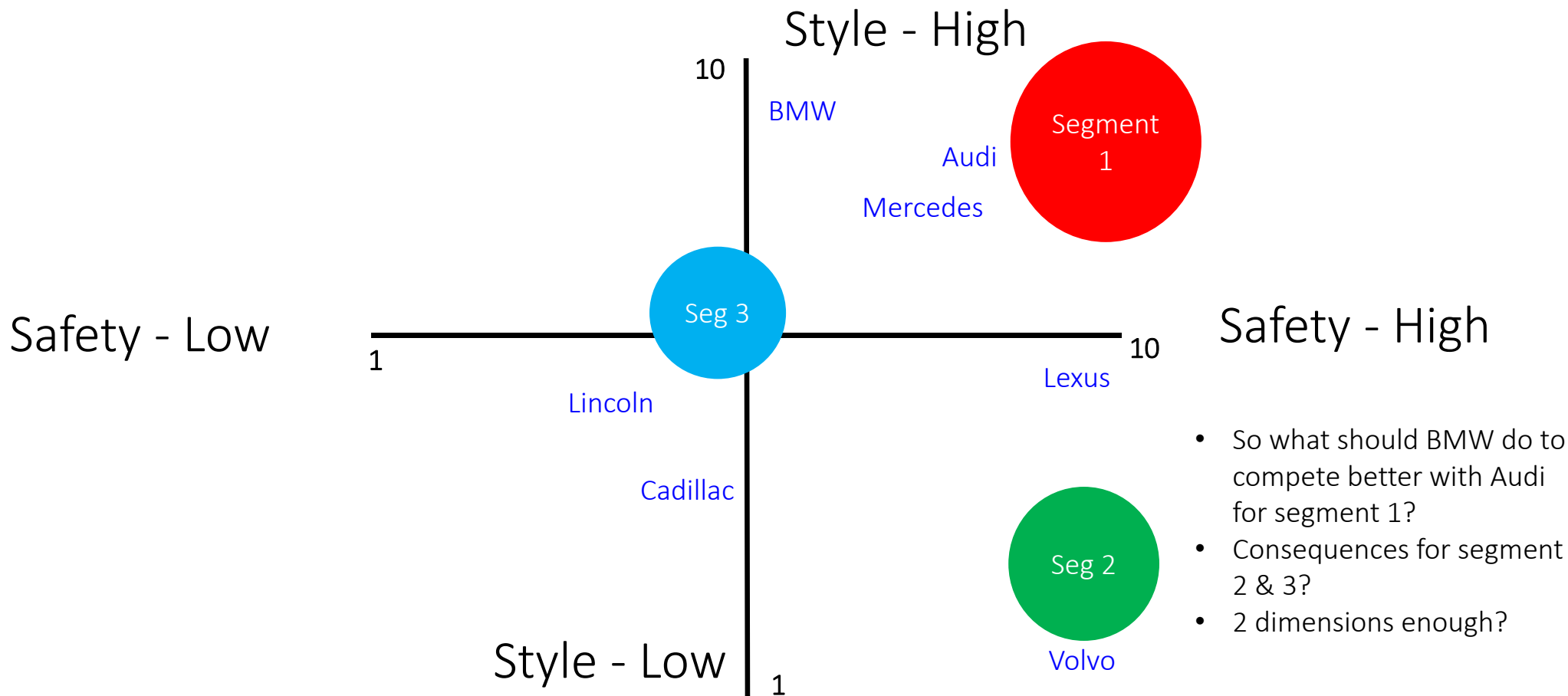
Think of this as a simple picture of the consumer's mind



Perceptual data: Brands are “positioned” in the minds of consumers – the “average” perception across consumers

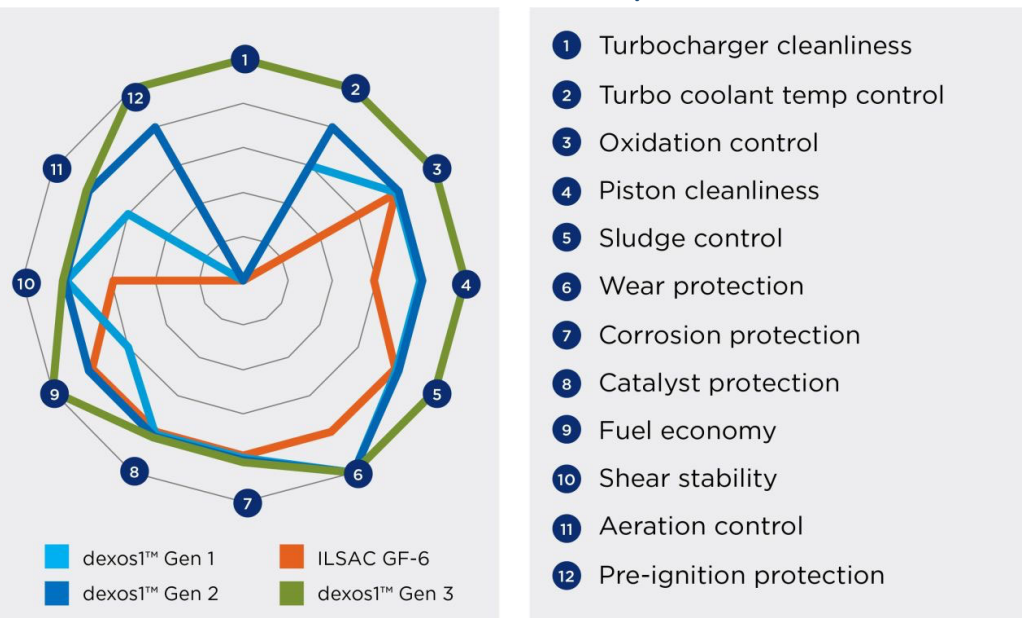


Preference data: Consumer segments located near the brands they prefer

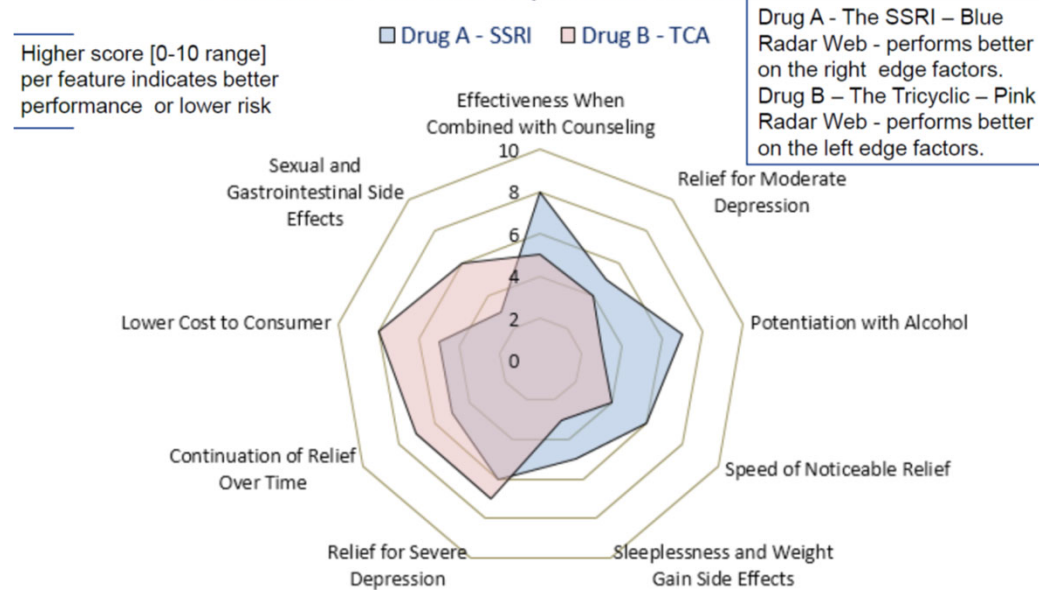


Examples of types of Perceptual Maps

Chevron Oronite – Lubricant / Fuel Additive

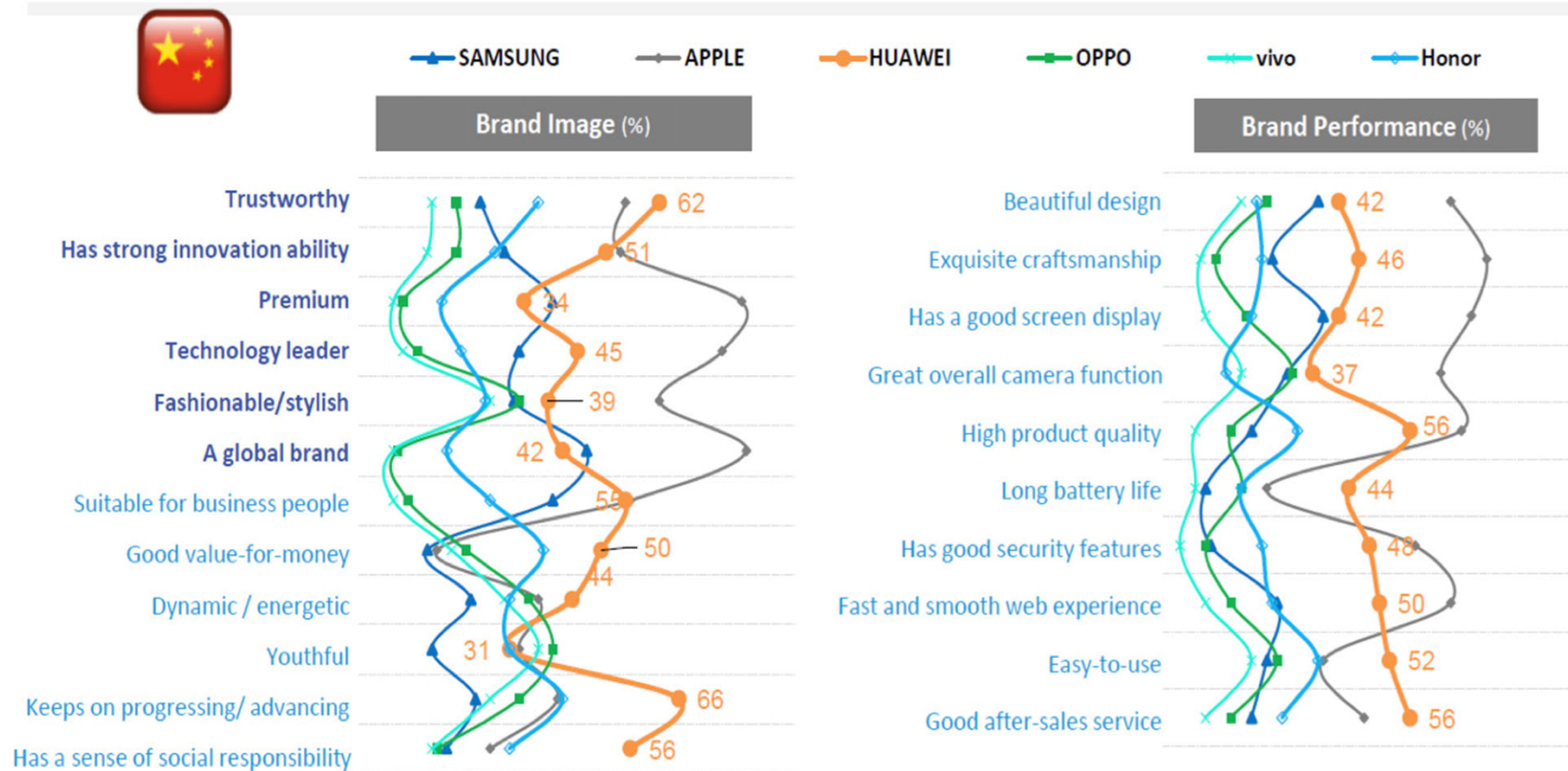


Features of Two Anti-Depressant Pharmaceuticals



- What are the limitations of snake charts or spider / flower diagrams?

Perceptions when there more than 2 benefits: Huawei



ABCs of Positioning

- *Audience*
- *Benefits*
- *Compelling Reason*

- *Competitive Frame*

Positioning Statement

- For [target segment], the [product] [most important claim] because [single most important support]
- For today's savvy affluent consumer, Chase Sapphire is the new, next generation rewards card that combines the premium service and travel benefits high-end consumers expect with practical features, so that they can always get more of what matters most

Salesforce

- **Audience:** Businesses aiming to improve customer relationship management.
- **Key Benefit:** Comprehensive CRM solutions that drive sales growth.
- **Compelling Reason to Buy:** Provides a unified platform for sales, service, and marketing, enabling personalized customer interactions.
- **Competitive Frame:** Unlike fragmented CRM systems, Salesforce offers an all-in-one solution with scalability and customization.
- **Positioning Statement:** "Salesforce is the world's #1 CRM platform that empowers your sales, service, and marketing teams to collaborate and deliver personalized experiences to your customers."

Slack

- **Audience:** Businesses seeking efficient team communication tools.
- **Key Benefit:** Streamlined communication and collaboration.
- **Compelling Reason to Buy:** Integrates various communication channels into a single platform, enhancing productivity.
- **Competitive Frame:** Unlike traditional email systems, Slack offers real-time messaging, file sharing, and integration with numerous applications.
- **Positioning Statement:** "Slack is a collaboration hub that connects your work with the people you work with through real-time messaging, file sharing, and integrations, making your team more productive."

Key Takeaways – Customer Analysis

- Framework
 - Market research, segmentation, targeting, positioning
- Segment
 - Understanding *differences* across customers in their need-spaces
 - What (Bases) variables & Who (Descriptor) variables
- Target
 - Matching need-spaces with company capabilities
 - Map segment attractiveness to company strengths
- Position
 - Convincing consumers in target segment to buy / adopt our product
 - Articulate Audience, Benefit, Compelling reason
- Tools
 - Customer journey mapping, consumption chain analysis, cluster analysis, behavioral targeting; perceptual maps, mapping online sentiments and conversations

Customer relationship with firm over time:
Customer / Donor Lifetime Value (CLV / DLV)

Computing Customer Lifetime Value

- ⊙ Acquisition cost (AC)
 - $(\text{cost of marketing instrument})/(\text{number of customers acquired})$
 - $(\text{unit cost of marketing})/(\text{response rate})$
- ⊙ Margin (m)
 - Annual margin per customer or net donation amount (arises from profit on products/services purchased, not acquisition or retention spend)
- ⊙ Retention (r)
 - Constant “natural” rate of retention
 - Can also manage this pro-actively through retention spending
- ⊙ Discount factor (i)
- ⊙ Incremental revenue from recommendation (WoM)
 - Quantifiable?

Computing CLV: Gupta & Lehman (2003)

- If m is the margin / transaction; r the retention rate and i the discount rate for future cash flows, then (not including acquisition costs)

$$CLV_3 = m + m * \left[\frac{r}{1 - r + i} \right]$$

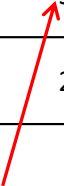
- CLV is a function of your
 - Margin
 - A multiplier (based on retention rate and the discount rate)
 - For “typical” ranges of these two, the multiple is between 1.07 and 4.50
 - **Retention rates for donors is around 45%**
 - <https://institute.blackbaud.com/charitable-giving-report/overall-giving-trends/>
 - This formula can also be modified for constant growth in margins
- The computed CLV can be used for
 - Choosing the amount of acquisition expenditure ($AC \leq CLV_3$)
 - Sensitivity of CLV to increased retention expenditure
 - Fine-tuning cost of servicing

Computing CLV: Netflix data (1Q 2007)

- ⊙ Formula $CLV = m + m * \left[\frac{r}{1 - r + i} \right] - AC$; or $CLV = m * \underbrace{\left[\frac{1 + i}{1 - r + i} \right]}_{\text{Margin Multiplier}} - AC$
- ⊙ Margin is 36.1%
- ⊙ Quarterly revenue per customer is $(305.3\text{mm}/6.80\text{mm}) = \$ 44.92$ i.e., annual revenue is $44.92 * 4 = \$ 179.68$
- ⊙ Multiplier
 - Retention rate is 95.6%
 - Assume a conservative discount factor of 10%
 - Multiplier = $(1.1/(1+0.1-0.956)) = 7.64$
- ⊙ Computed CLV is $179.68 * 0.361 * 7.64 = \$ 495.6$
- ⊙ Current acquisition cost is \$ 47.46
- ⊙ Market value based on CLV should be $(495.6 - 47.46) * 6.80 = \$ 3047 \text{ mm}$
- ⊙ Street market value (5/14/07) is 1510 mm (implied CLV is \$ 222)!

Computing CLV: Netflix Trends

	3Q 2003	1Q 2004	4Q 2004	1Q 2005	2Q 2005	3Q 2005	4Q 2005
Quarterly Revenue / customer (\$)	56	52	55	51	51.5	48.5	46.43
Gross Margin (%)	46.5	43.6	45.5	38.4	39	43.2	47.1
Retention Rate (%)	94.2	95.3	95.6	95	95.3	95.7	96
Multiplier	5.88	6.48	6.68	6.33	6.48	6.69	6.86
Acquisition Cost per customer (\$)	32	35.12	35.61	37.89	37.25	35.69	40.65
CLV (\$)	612	588	664	496	521	561	601
Implied market cap (\$mm)	790	1136	1640	1383	1546	1887	2695
Actual market cap (\$mm)	1160	1580	544	785	1200	1610	1440
Implied CLV (\$)	900	817	208	298	413	484	343



Computing CLV: Netflix Trends

	4Q 2008	1Q 2011	4Q 2013	4Q 2013	4Q 2014
Quarterly Revenue / customer (\$)	38.30	31.52	20.30	24.00	24.54
Gross Margin (%)	35.2	39.0	30.9	30.9	31.7
Retention Rate (%)	95.8	96.1	90	96	
Multiplier	7.75	7.91	5.5	7.85	
Acquisition Cost per customer (\$)	26.67	14.38	33.62	33.62	
CLV (\$)	391.3	374.6	104.3	199.2	
Implied market cap (\$mm)	3678	8539	6046	11547	
Actual market cap (\$mm)	2400	12133	22880	22880	
Implied CLV (\$)	255.6	532.2	395	395	

Calculation:

$$\text{CLV} = \frac{\{(4 \times 0.39 \times 31.52 \times 1.1)\}}{(1 - 0.961 + 0.1)} - 14.38 = \$374.6$$

Building loyalty profitably

- "Volume is important to us but so is profitability," said [John Rainey](#), [PayPal](#)'s finance chief, on the conference call. "Where this was ending up is something that we weren't interested in from a profitability perspective."
 - On ending relationship with eBay 2/1/18

Takeaways – CLV

1. In many businesses, especially services, “value equity” – the value of a particular transaction requires acquisition of a large number of customers each period
2. Shift focus from “value equity” to “relationship equity”
3. CLV as a basis for relationships
4. Segment using CLV and the marginal effect of marketing on CLV
5. Move from CLV to referral value – integrate NPS with CRM